Business Canvas Project — Assignment 2.1

Unit 2 Tasks 1–2: Target Customers → Customer Profile → Relationship Plan · AP Topic 2.1

Due: _____
Team size: Same team as Assignments 1A, 1.3, 1.4-1.5, and 1C (up to 3)
Submission: Completed Business Canvas **Customer** section — a target customer profile with its hypothesis test, plus a plan to build customer relationships with CAC/LTV numbers

Unit 1 asked *is the problem real, and can we build the thing?* Unit 2 starts asking a narrower, harder question: **who exactly buys it — and how do we keep them?** Your Unit 1 canvas named a customer segment. This assignment turns that segment into **one person** you can design for, then builds the relationship that makes that person worth more than a single sale.

The CED restarts task numbering in Unit 2. Your Unit 1 work covered Unit 1 Tasks 1–8; this assignment covers **Unit 2 Task 1** and the **relationships half of Unit 2 Task 2**. (The persuasion half of Task 2 arrives with Topic 2.2.)

Review first: [[2.1 Marketing to Customers - Vocab]] · [[2.1 Marketing to Customers - Slides]] · [[2.1 Marketing to Customers - Summary]]

Deliverables

Canvas Section	What You Submit	AP Topic	CED Task
Customer	Target customer profile (demographic + psychographic + wants / needs / preferences) **+ evidence you tested it**	2.1	Unit 2 Task 1
Customer	Plan to build customer relationships — tactics, **CAC**, **LTV**	2.1	Unit 2 Task 2 (relationships half)
Customer	Data-risk audit — what you collect, who knows, what it costs you	2.1	Personal Finance link

Target customer profile is asterisked in the CED — like your problem statement and product idea in Unit 1, it **requires hypothesis testing**. Section 2, Step 4 is that evidence. The relationship plan is *not* asterisked: it needs reasoning and numbers, not a test.

Where This Fits — Project Progress

#	Checkpoint	Topics	Assignment	Status
1	Customer problem + competitors + competitive advantage plan	1.1, 1.2	Assignment 1A	✅ Done

#	Checkpoint	Topics	Assignment	Status
2	PESTEL analysis + market verdict	1.3	Assignment 1.3	✅ Done
3	Validation interviews + product idea + hypothesis test + vision & mission	1.4, 1.5	Assignment 1.4-1.5	✅ Done
4	Production process + supply chain plan	1.8	Assignment 1C	✅ Done
5	Commit to the idea + revised market analysis + integrated canvas	1.1–1.8	Unit 1 Final Canvas	✅ Done
6	**Target customer profile + plan to build customer relationships**	**2.1**	**This assignment**	🔵 Current
7	Sales tactic drawing on principles of persuasion	2.2	Next assignment	⬜
8	Primary + secondary research, competitive landscape, data visualization	2.3		⬜
9	MVP, value proposition, branding	2.4		⬜
10	Pricing strategy	2.5		⬜
11	Marketing channel(s)	2.6		⬜
12	Marketing campaign + digital marketing tools	2.7		⬜

Suggested pacing (≈4 class periods, matching the CED's 4 periods for Topic 2.1):

Milestone	By	You bring to class
M1 — Segment map	Day 1	Section 1 complete + your segment table with at least 3 segments
M2 — Profile drafted	Day 2	Section 2, Steps 1–3 complete — a named profile, peer-reviewed for "could a stranger picture this person?"
M3 — Profile tested	Day 3	At least 1 interview conducted with someone matching the profile; Section 2, Step 4 complete
M4 — Submit	Day 4	Sections 3–4 complete; full worksheet submitted

> **Do not skip M3.** A profile nobody tested is a guess with a name attached. The CED asterisks this deliverable for a reason.

Before You Start: The Framework

Six rules from the 2.1 lesson that this worksheet runs on:

1. **Marketing ≠ advertising.** Marketing is *all* the activities that **identify** customers' problems, needs, and wants and **promote, sell, and deliver** products that meet them (EK

2.1.A.1). Advertising is one piece of it. If your answer to "what is your marketing?" is "we'll post on 小红书," you have named one activity out of four.

2. **Customer data feeds three decisions: who / what / how** (EK 2.1.A.2). Which customers to serve, which products to produce, how to market them. Every data point you collect should be traceable to one of those three.
3. **Traits of the person = demographic. Contents of the mind = psychographic** (EK 2.1.A.3). The **census test** settles it every time: *could a census form record it?* Age, sex, race, ethnicity, income, location — yes. Interests, activities, values, lifestyles — no.
4. **Segment → target → profile are three zoom levels, not synonyms** (EK 2.1.B.1–B.3). A **segment** is a group with shared demographic + psychographic traits. **Target customers** are the buyers *most likely to purchase*. A **profile** is one **fictional** person who stands for the target. One zoom level off is the most common error on this material.
5. **Targeting improves the odds; it never guarantees the sale** (EK 2.1.B.4). Designing for the buyers most likely to purchase is typically **more effective and less costly** than appealing to a wide audience — that is the whole argument, and it is an argument about *cost and fit*, not about certainty.
6. **Relationships move two numbers in opposite directions** (EK 2.1.C.2–C.3). Relationship tactics push **lifetime value (LTV)** up and **customer acquisition cost (CAC)** down. A referred customer arrives at zero marketing cost.

> **Strong-answer method (use it all through this worksheet):**
> **State the evidence → name the concept (LO/EK) → tie it to YOUR business.**

A note on where your evidence comes from: your Unit 1 interviews, surveys, and observation logs are still valid data. You do not need to start over — you need to **re-read them as data about a person** rather than data about a problem. The 鸣鸣很忙 clip in the lesson does exactly this at scale: 20,000 stores segmented by **location** (58% in 县城/乡镇), **income** ("帮月薪 3000 块的人实现零食自由"), and **values** (既要便宜又要爽) — and the profile that fell out of it produced 超大包辣条 **and 5** 斤装薯片**.**

SECTION 1: DATA AUDIT — What Do You Actually Know About Your Buyers?

AP Topic 2.1 · LO 2.1.A · EK 2.1.A.1, 2.1.A.2, 2.1.A.3, 2.1.A.4

Before you segment anything, take inventory of the data you already hold.

1A. Marketing is four activities — which ones have you done?

Activity	What it means	What your team has actually done so far
Identify	find customers' problems, needs, wants	
Promote	make the product known	
Sell	close the transaction	
Deliver	get the product into the customer's hands	

> **Check yourself:** if two of these cells are empty, your marketing plan has a hole in it. Name which one is weakest and why — EK 2.1.A.1.

1B. Data → who / what / how

Name the specific fact from your Unit 1 work that answers each decision (EK 2.1.A.2):

Decision	The fact you are relying on	Where it came from
Which customers to serve		
Which products to produce		
How to market		

1C. Sort your data: demographic or psychographic?

List **at least six** facts you hold about your potential buyers. Run the census test on each (EK 2.1.A.3).

Fact you hold	Demographic / Psychographic	Census test — could a census form record it?

> **The trap:** "they care about safety" and "they are parents of middle schoolers" feel like the same fact. One is psychographic, one is demographic — and only one of them can be counted. Keep them in separate columns or your segmentation in Section 2 will blur.

1D. Where does your data come from?

Source type	Tools (EK 2.1.A.4)	What you have used / will use
Digital	subscriber lists · online accounts · click-tracking · tracking apps · social media monitoring	
Traditional	surveys · interviews	
Purchased	data bought from other businesses	

> **The rule that decides the type: the question asked — not the tool — decides whether data is demographic or psychographic.** A survey is a traditional tool that can collect either one. A tracking app is a digital tool that can collect either one. Do not classify by tool.

Self-check:

- ☐ I named all four marketing activities and identified my weakest — EK 2.1.A.1
- ☐ Every data point I hold traces to **who / what / how** — EK 2.1.A.2

- ☐ I sorted at least six facts and ran the **census test** on each — EK 2.1.A.3
- ☐ I classified by the **question asked**, not by the tool — EK 2.1.A.4

SECTION 2: TASK 1 — SEGMENT → TARGET → PROFILE

AP Topic 2.1 · LO 2.1.B · EK 2.1.B.1, 2.1.B.2, 2.1.B.3, 2.1.B.4 · CED Unit 2 Task 1

Step 1 — Segment the market

Aggregate your potential customers into **at least three** segments by shared demographic **and** psychographic characteristics (EK 2.1.B.1).

Segment (name it)	Demographic traits	Psychographic traits	What they buy	What they care about most

> **Why segment at all?** Segmentation is how you find out that different groups within your market **need different things** — and therefore that your product can only be aimed at one of them well (EK 2.1.B.1).

Step 2 — Choose your target customer

Target customers = the buyers most likely to purchase your product because their wants, needs, and preferences already point at it (EK 2.1.B.2).

My target segment: _____

Why these buyers are most likely to purchase (not "because we like them" — point to a fact from Section 1):

The broad version vs. the targeted version — write both, so the difference is visible:

	Your product
Broad (aimed at everyone)	
Targeted (aimed at your segment)	

> **Why targeting pays** (EK 2.1.B.4) — complete the comparison:

	One target population	Everyone
Product, branding, pricing, advertising		
Effectiveness		
Cost		

Step 3 — Write the customer profile

A **customer profile** is a **fictional** description of **one specific sample customer**, combining demographic + psychographic data with that person's wants, needs, and preferences (EK 2.1.B.3).

> **Name and age:** _____
>
> **Demographic:** (occupation, income, location, household — the census-form column)
>
> **Psychographic:** (values, interests, lifestyle, how they spend their time — the contents-of-the-mind column)
>
> **Wants / needs / preferences:** (what they are actually trying to get done)
>
> **Why this person buys from us and not from the alternative:** _____

> **Model answer from the lesson — Theo's profile:**
> **Renee, 41.** Safe first commuter bike for her middle schooler. Budget $90. Values the test ride and the tune-up more than price.
>
> Notice the shape: **one person**, a **budget number**, a **job to be done**, and a **ranked preference**. If your profile has no number and no ranking, it is a segment description wearing a name.

Step 4 — Test the profile (this is the asterisked part)

The CED requires evidence of hypothesis testing on this deliverable. Write the hypothesis, set the bar **before** you talk to anyone, then go find someone who matches the profile.

The hypothesis:

> "We believe _____ (the profile) will buy _____ (our product) because _____ (the reason we think so)."
>
> **Success criteria — set this BEFORE the interview:** _____
> *(Example shape: "3 of 4 interviewees who match the profile describe the problem unprompted." Not "people say it sounds good.")*

The test — at least one interview with someone who matches the profile:

Question asked	What they said (quote or number)	Does it support the profile?

> **Interview discipline (carried over from Unit 1):** open-ended, neutral, about **their** life — not about your solution. "Do you experience ___?" and "What do you use now to deal with ___?" are valid. "Would you buy this?" is an opinion, not evidence.

The verdict — and this is the graded part:

> **What the evidence said:** _____
>
> **What we changed as a result** (profile kept as-is / refined / redirected to a different segment) **and why:**

> **Negative feedback is the point, not a failure.** The CED is explicit: lukewarm or negative results are valuable — they may show the profile needs refining or replacing. "We tested it and everyone loved it" is the weak answer. "Two of three interviewees named price before safety, so we moved the profile from *safety-first parent* to *budget-first parent*" is the strong one.

Self-check:

- ☐ I built **at least three** segments with both demographic **and** psychographic traits — EK 2.1.B.1
- ☐ My target is justified by evidence, not preference — EK 2.1.B.2
- ☐ My profile is **one fictional person** with a budget, a job to be done, and a ranked preference — EK 2.1.B.3
- ☐ I stated the broad-vs-targeted contrast and why targeting is cheaper and more effective — EK 2.1.B.4
- ☐ I wrote a **measurable** hypothesis and set success criteria **before** testing — CED Unit 2 Task 1
- ☐ I ran at least one interview with someone matching the profile and **documented what changed** — CED Unit 2 Task 1

SECTION 3: TASK 2 — PLAN TO BUILD CUSTOMER RELATIONSHIPS

AP Topic 2.1 · LO 2.1.C · EK 2.1.C.1, 2.1.C.2, 2.1.C.3 · CED Unit 2 Task 2 (relationships half)

Winning the first sale is the beginning, not the end. This section is the plan for what happens after.

Step 1 — Choose your tactics

The CED names three families of tactic (EK 2.1.C.1). Pick the ones you will actually run and make each one concrete.

Tactic family	What it looks like at your business	Cost to run	What it is meant to cause
Personalized service			
Rewards program			
Customer feedback			

> **Social media and the internet make all three cheaper to run** (EK 2.1.C.1) — name one way that is true for **your** business specifically. If it isn't true for any of them, say so and explain why.

Step 2 — Customer acquisition cost (CAC)

CAC = (marketing + advertising + sales costs) ÷ number of customers acquired (EK 2.1.C.2)

Line	Your number
Marketing costs	$
Advertising costs	$
Sales costs	$
Total acquisition costs	**$**
Customers acquired	
CAC	**$**

> **The classic trap:** CAC divides by **all** acquisition costs, not by advertising alone. Dividing advertising only produces a number that is too low and makes every campaign look profitable.

Step 3 — Lifetime value (LTV)

LTV = the estimated amount of money a customer will spend on your products over time (EK 2.1.C.3). Track it in **margin**, not revenue — money that passes through to a supplier was never yours.

Source of value	Your number
First purchase (margin)	$
Repeat purchases / tune-ups / refills (margin)	$
Referred or family purchases (probability × margin)	$
LTV	**$**

> **Model answer from the lesson — Renee:** first bike margin $38 + two tune-ups $24 + sibling bike (40% × $65) $26 = **LTV $88.** Against a **$5 CAC**, that customer is worth **$83 net.** Notice what did the work: the **repeat** and the **referral**, not the first sale.

Step 4 — The relationship plan

Our LTV − our CAC = $ _____

What raises LTV for us (be specific — which tactic, causing which repeat purchase):

What lowers CAC for us (be specific — how a satisfied customer brings us the next one for free):

> **One risk to this plan:** what happens to these numbers if customers do not come back a second time?

Self-check:

- ☐ I named tactics from all three CED families and made each concrete for my business — EK 2.1.C.1
- ☐ My CAC divides by **all** acquisition costs, not advertising alone — EK 2.1.C.2
- ☐ My LTV is tracked in **margin** and includes repeat and referred purchases — EK 2.1.C.3
- ☐ I can state which specific tactic raises LTV and which lowers CAC — EK 2.1.C.2, 2.1.C.3

SECTION 4: THE RISK SIDE — What Your Data Costs

AP Topic 2.1 · LO 2.1.D · EK 2.1.D.1, 2.1.D.2, 2.1.D.3 · Personal Finance link: Managing Risk 12-11

Everything in Sections 1–3 assumed you **should** collect the data. This section asks what it costs you to hold it.

4A. What you collect — and who knows

Data you collect	How you get it	Do customers know?	Do they know what you do with it?
		Y / N	Y / N
		Y / N	Y / N
		Y / N	Y / N

> **Privacy risk is sharpest in two situations** (EK 2.1.D.1): when customers are **unaware** that their data is being collected, and when they are **uninformed** about how it may be used. A "Y / N" of **N** in either column is a finding, not a formality.

4B. The four terms — classify your own exposure

Term	Meaning	Where this could happen to us
Privacy infringement	collection or use that violates a customer's expectation	
Data breach	stored information exposed to outsiders	
Identity theft	stolen details used to impersonate someone	
Fraud	deception used to take money or property	

> **Model case from the lesson — 一张快递单:** a name, an address, and a phone number on one shipping label is the same "one line" as a notebook entry — data **kept without a stated purpose or a disclosed use.** What a stranger can do with it is **identity theft** and **fraud** — and the harm lands back on the seller.

4C. Benefits vs. risks — for YOUR business

The CED requires businesses to **balance** the benefits of using customer data against the risks (EK 2.1.D.3).

Benefits of collecting	Risks to our business
better targeting	**loss of customers**
higher LTV	**violation of core values**
lower CAC	**damaged reputation**
better products	

> **Tie the middle row back to your own work.** In Assignment 1.4-1.5 you wrote **core values** and ran the *decoration check* — a value the business abandons the first time money appears was a decoration. Now apply it to data:
>
> **Which of our stated core values does our data practice either honor or violate?**
>
> ---
>
> **Our decision:** what we will collect, what we will refuse to collect, and how we will store it —
>
> ---

> **Model case from the lesson — the gym:** a business advertising itself as a **"trusted community space"** stores card numbers and check-in histories in an **unsecured spreadsheet.** The breach harms customers — but the risk the CED asks about is to **the gym**: members leave, the stated value is exposed as a decoration, and the reputation is the thing that actually breaks.

Self-check:

- □ I listed what I collect and whether customers know — EK 2.1.D.1
- □ I can distinguish all four terms and located each in my own business — EK 2.1.D.2
- □ I balanced benefits against the **three** named business risks — EK 2.1.D.3
- □ I connected my data practice to my **stated core values** from Assignment 1.4-1.5

SECTION 5: EXAM DRILL — The Tells

Classify by **content**, not by label. These rehearse the classification questions the exam asks — on scenarios and on your own project.

#	Item	Classification	One-sentence reason (name the tell)
1	"Shoppers in their late 20s–30s who care about plastic-free packaging"	demographic / psychographic / both	
2	A description of **Marisol, 31**, renter, hosts friends, buys gifts locally	segment / target / profile	
3	"Shoppers over 50 who buy single unscented bars"	segment / target / profile	
4	Dana decides to serve the younger cluster and stops designing for the older one	segmentation / targeting	
5	$20,000 in advertising and $8,000 in other marketing and sales produced 700 customers	CAC = ?	
6	A customer's first purchase margin is $30, then two refills at $14 margin each	LTV = ?	
7	A rewards punch card that brings a buyer back three times	raises LTV / lowers CAC / both	
8	A shipping label left on a box with a name, address, and phone number	privacy / breach / identity theft / fraud	
9	A database of card numbers copied by an outsider	privacy / breach / identity theft / fraud	
10	Customers leave after learning their browsing was logged without notice	benefit / risk to the business	

> **#2 and #3 trap:** both are groups of people, but only one is a **group** in the CED's sense. One zoom level off is the most common error on this material — check whether the description covers **many** customers or **one**.

Self-check:

- ☐ I classified every item by its **content/tell**, not its label
- ☐ I can distinguish **demographic** from **psychographic** on sight, using the census test
- ☐ I can hold **segment / target / profile** at three separate zoom levels
- ☐ I computed **CAC** using all acquisition costs and **LTV** in margin

Grading Rubric

Section	Excellent (A)	Good (B)	Developing (C)	Needs Work (D/F)
1 — Data audit (2.1.A)	All four marketing activities assessed with the weakest named; every data point traces to who/what/how; 6+ facts sorted with the census test applied correctly; sources classified by question, not tool	Most activities assessed; facts sorted with minor errors	Few facts, census test misapplied or skipped	Not addressed
2 — Segment → target → profile — Unit 2 Task 1 (2.1.B)	3+ segments with both trait types; target justified by evidence; profile is one person with a budget and ranked preference; measurable hypothesis with pre-set criteria; interview run and the **change documented**	Segments built, target chosen, profile written; test run with a stated verdict	Segment/target/profile blurred; profile asserted; test opinion-based or missing	No profile or no test
3 — Relationship plan — Unit 2 Task 2 (2.1.C)	All three tactic families, each concrete and costed; CAC uses all acquisition costs; LTV in margin with repeat and referral value; the tactic→number link stated	Tactics listed, CAC and LTV computed with some gaps	Tactics generic; CAC or LTV missing or miscomputed	Not addressed
4 — Data-risk audit (2.1.D)	Collection mapped with awareness/disclosure flagged; all four terms distinguished and located in own business; benefits balanced against the three named business risks; tied to own stated core values	Terms distinguished, some located; balance stated	Terms confused; risks not connected to the business	Not addressed
5 — Exam drill	All correct with tell-based reasoning	Most correct	Several errors	Mostly incorrect

Important Notes

1. **Same business idea as every prior assignment.** Same customer, same market, same product. The Unit 1 Final Canvas committed you to this idea — Section 2 is where you find out whether the *customer* you wrote down is the customer who actually shows up. If your interview says no, **document the revision**; that is the design-thinking loop working, not failing.
2. **The profile is asterisked — it needs testing.** The CED marks *Customer – Target customer profile* as requiring hypothesis testing. One interview with someone who matches the profile is the minimum; more is better, and a mismatch you recorded is worth more than a match you assumed.
3. **The relationship plan carries into Topic 2.2.** Unit 2 Task 2 is a single task spanning two topics: **2.1 covers relationships** (tactics, CAC, LTV), **2.2 adds the sales tactic** drawing on principles of persuasion. Keep this worksheet — you will extend Section 3 rather than replace it.
4. **Evidence beats assertion, still.** "Our customers will definitely come back" is weak. "$88 LTV against a $5 CAC, with the sibling referral carrying $26 of it" is strong.
5. **Team size:** same team as Assignments 1A, 1.3, 1.4-1.5, and 1C. Interviews may be split among members — but every member must be able to explain the profile and the test result, because the exam-day FRQ is written **individually**, about the project you all know.
6. **AP Exam connection:** the Business Canvas Project Exam-Day Validation FRQ (15% of your score) asks how you used **hypothesis testing** to inform decision making in your project. Section 2, Step 4 is exactly that — and the data-risk reasoning in Section 4 is Managing Risk 12-11 content the personal-finance questions draw on.